

WYNN RESORTS, LIMITED

(NASDAQ: WYNN)

The Capex Wall Is Ending; the Market Is Pricing the Bear Case

BUY — \$153.00 Target

Equity Research Note · Consumer Discretionary — Casinos & Gaming · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$153.00	\$75.88	+101.6%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$7.8 bn (103 mn sh × \$75.88)	Dividend	\$0.25/share quarterly (maintained)
Enterprise value	~\$17.6 bn	Buyback authorization	\$326 mn remaining (mid-2026)
Net debt	~\$8.5–9.2 bn; leverage ~4–4.4x EBITDAR	Next catalyst	Wynn AI Marjan Island opening, Sep 2027
52-week range	~\$75.75 – \$134.72	Sell-side view	JPMorgan assigns ~\$0 value to UAE (Sep 2026)
2026E revenue / EBITDAR	\$7.5 bn / \$2.27 bn	Macau concession	10-year license to end-2032; no renewal risk

1 Investment Thesis

Wynn is trading like a company whose biggest growth project will never pay off. At \$75.88, the equity is priced within shouting distance of our bear case (\$52.08) — which assumes Macau revenue declines early in the forecast, the UAE project arrives late and small (a 58% haircut to company guidance, delayed to mid-2028), a \$300 million equity call on cost overruns, and a punitive 14.5% discount rate. The market is pricing roughly the bear case as the expected outcome. That is the mispricing.

Our 10-year scenario DCF says even the base case — discounted at 12%, with the UAE contribution haircut 25% below management's own guide, and roughly \$110 million a year of Wynn Macau minority leakage priced in every year — is worth \$140.13. The weighted fair value (bear 25% / base 50% / bull 25%) is \$153, +101.6% above the current price. The math works because of a single, highly visible inflection: Wynn's capex wall ends. Our model has free cash flow to equity inflecting from roughly \$110 million in 2027 to \$1.0–2.3 billion per year from 2029, as the UAE and Enclave build programs complete and the assets start spinning cash. Right now investors are capitalizing the capex-heavy trough as if it were permanent; within three years the same company could be distributing double-digit percentages of its current market cap annually.

The valuation is deliberately hardened against optimism. The scenario DCF runs ten years so the UAE and Enclave economics actually appear in the numbers. Terminal growth is capped at 2.5% on normalized mid-cycle margins — never peak margins. Each scenario carries its own discount rate: 14.5% for the bear's distress pricing, 12% for the base, 10.5% for the bull. There is no multiple overrule and no anchoring to management's guide numbers: project economics are haircut, not guided. The target is the weighted DCF: \$153. The rating is BUY.

The bear case is genuinely priced in, so the asymmetry favors holders. At \$75.88, even a mild derisking — the UAE opens on time, Macau gross gaming revenue merely stabilizes — forces the price toward the \$140 base case. The core business is not broken: Wynn Las Vegas set a record monthly EBITDAR in May 2026, group EBITDAR annualizes above \$2.2 billion, and Las Vegas margins run 35%+. The stock's 37% one-year decline is a narrative discount —

Macau softness and headlines around the UAE budget — not an operating collapse.

Why the market will care (eventually)

- **The capex wall is the story, and it has a calendar.** Wynn Al Marjan Island (40%-owned, the UAE's only licensed integrated resort, on a 15-year exclusive renewable license) opens September 2027; the \$900–950 million Enclave tower at Wynn Palace follows in early 2029. After that, Wynn is a harvest machine: two flagship growth assets fully built, with the base business alone throwing off over \$2 billion of FCFE in our 2036 base year.
- **Investors currently assign the UAE project roughly zero value.** It is a \$5.1 billion project, 67% spent or contracted, tower topped out, 22,000 workers on site, company-guided at \$390–570 million of stabilized property EBITDA. We haircut that guide 25% and still get \$144 million of annual Wynn-side EBITDA from 2031. Zero is not a haircut; it is a refusal to do the arithmetic.
- **Leverage is the reason this is a High-risk BUY, not a slam dunk.** Equity value here is levered to the timing of cash flows, which is precisely why the capex wall ending matters so much: the \$900 million-plus of 2027–28 growth capex is the entire reason the price is \$75.88, and it is a two-year problem with a known end date.

2 Business Overview — What Wynn Resorts Is Doing

(Las Vegas, Nevada; CEO Craig Billings)

Wynn Resorts operates ultra-luxury integrated resorts — the company claims more Forbes Travel Guide Five-Star Awards than any other independent hotel company in 2026. The operating footprint is four properties: Wynn Las Vegas / Encore (4,748 rooms, the highest-margin segment at roughly 35% EBITDAR), Encore Boston Harbor (a stable regional cash cow at roughly 28% margins), and Wynn Macau and Wynn Palace (the Cotai flagship). A fifth property, the Wynn Mayfair private members' club in London, was acquired in June 2025; it is immaterial to earnings but useful as a European and Middle East feeder for the UAE resort. The WynnBET/iGaming operation was effectively wound down in 2023–24.

The FY2025 mix (company-reported): revenue \$7.14 billion, Adjusted Property EBITDAR \$2.22 billion at a 31.2% margin. Macau was roughly 52% of revenue and 49% of EBITDAR — the single largest driver of both earnings and volatility. Wynn's Macau market share has recovered to about 13% of gross gaming revenue (3Q25), skewed toward premium-mass and VIP. The 10-year gaming concession signed in December 2022 runs to end-2032, so there is no near-term renewal risk.

Two growth assets are under construction — and both are in the valuation, with haircuts, not with management's numbers.

What the company is doing now

- **Wynn Al Marjan Island, Ras Al Khaimah (40% joint venture).** \$5.1 billion budget (raised \$600 million in August 2026 on conflict-related logistics costs), 1,530 rooms, 275 tables, 2,000+ machines, and the first and only UAE gaming license (15-year exclusive, renewable). Opening September 2027; the company guides \$390–570 million of stabilized property EBITDA on roughly \$1.33 billion of base-case gross gaming revenue. Our model takes a 25% haircut to the guide — 40% of \$360 million projected EBITDA, or \$144 million of annual Wynn-side EBITDA from 2031 — and still spends the remaining roughly \$550 million of Wynn's equity share over 2027–28.
- **The Enclave at Wynn Palace.** A \$900–950 million all-suite tower (432 suites, no gaming) fulfilling non-gaming concession commitments; opens early 2029. The company guides roughly \$400 million of revenue and \$150–175 million of EBITDA. We haircut to \$320 million of revenue and \$120 million of EBITDA — still a 12%+ yield on cost.
- **Spending the last of the wall.** Remaining equity for the UAE (roughly \$550 million) and the Enclave (roughly \$925 million total) flows out over 2027–28; then growth capex collapses to maintenance of roughly \$400–478 million per year.
- **Terming out the 2027–29 maturity wall.** \$2.86 billion due in 2027 and \$2.54 billion in 2028 (including the Wynn Macau converts puttable March 2027); a \$900 million 2035 senior-notes offering launched in September 2026 extends duration.
- **Returning cash while it builds.** The \$0.25/share quarterly dividend was maintained through 2026; \$129 million of buybacks were executed in H1 2026 with \$326 million of authorization remaining at mid-year.

- **Exited distractions.** The \$12 billion Hudson Yards New York casino bid was withdrawn in May 2025; capital is now concentrated on the UAE, the Enclave, and buybacks.

3 Financial Analysis

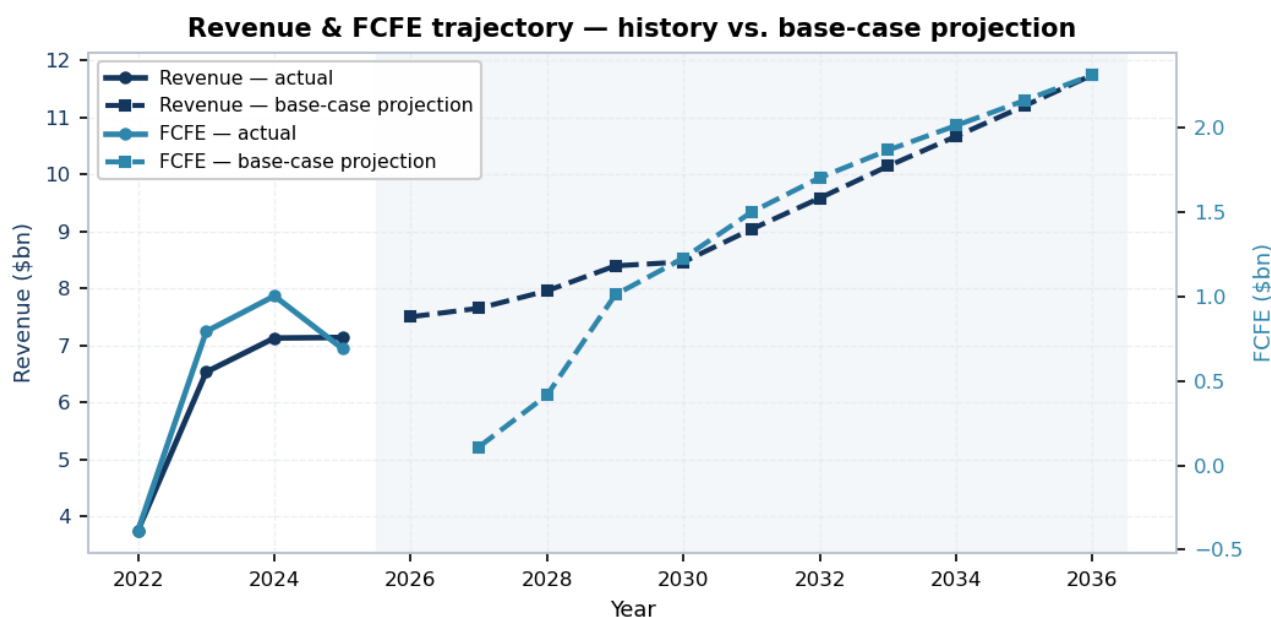
\$ mn	FY2024	FY2025	Q2'26	H1'26
Operating revenue	7,128	7,138	1,861	3,723
YoY growth	—	+0.1%	+6.9%	—
Adj. Property EBITDAR	2,365	2,224	568	1,131
EBITDAR margin	33.2%	31.2%	30.5%	30.4%
Net income (attrib.)	501	327	140	261
Diluted EPS	\$4.35	\$3.14	\$1.32	—
Operating cash flow	1,426	1,353	—	—
Free cash flow	1,006	692	—	—

Sources: company 10-K, earnings releases (Aug 4, 2026), 10-Q filings. — = not disclosed quarterly.

Total debt was roughly \$10.6 billion at mid-2026 (about \$10.72 billion including lease liabilities) against cash of roughly \$1.57 billion — net debt of \$8.5–9.2 billion on management's definition, putting net leverage at roughly 4–4.4x EBITDAR. Interest runs about \$600 million per year in our model. The 2027–29 maturity wall (\$2.86 billion / \$2.54 billion / \$1.79 billion) is being addressed through the 2035 notes offering, but refinancing happens at today's wider spreads — our bear case prices exactly that. Leverage is the constraint on the whole call: equity value is levered to the timing of cash flows, which is why the capex wall ending matters so much.

The FCFE bridge is explicit. Our 10-year construction per year: EBITDAR minus corporate costs, interest, tax, maintenance capex, UAE equity capex, Enclave capex, other growth capex, and Wynn Macau minority leakage (roughly \$110 million per year, growing). Base-case FCFE runs \$110 million (2027) → \$417 million (2028) → \$1,011 million (2029) and compounds to \$2.3 billion by 2036. The \$900 million-plus of 2027–28 growth capex is the entire reason the price is \$75.88; it is also a two-year problem with a known end date.

Revenue & cash-flow trajectory

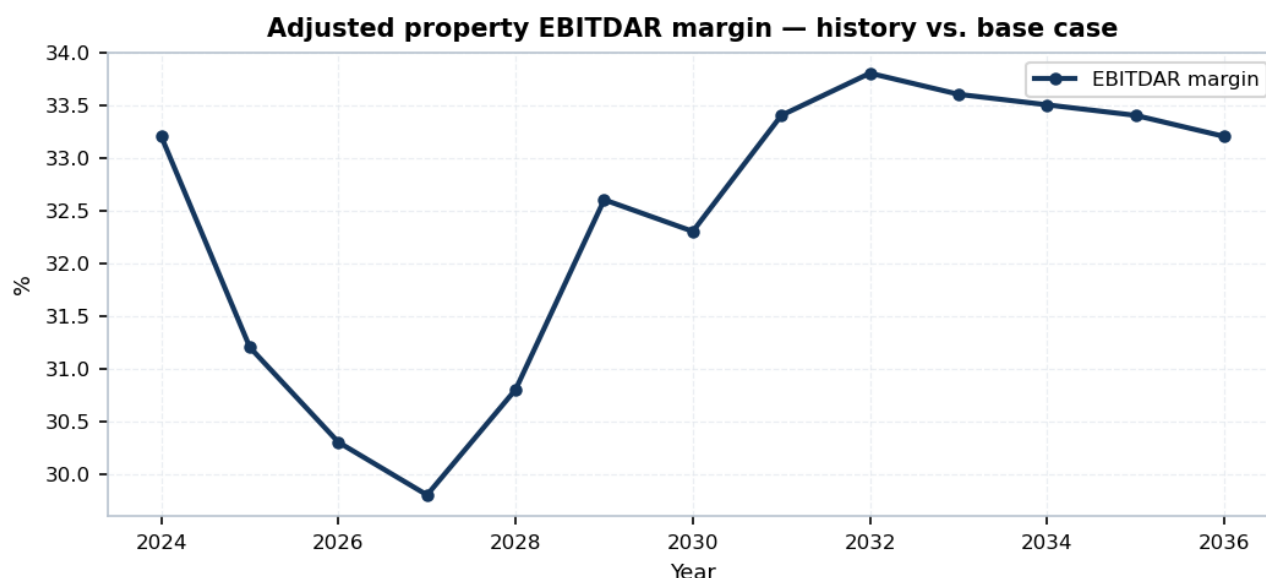


History: company filings (FCF = operating cash flow less capex). Projection: base-case FCFE from the scenario DCF; 2026E revenue per company outlook.

4 Moat & Competition

- **The luxury brand is the moat.** Wynn's Five-Star positioning commands the industry's highest average daily rates and gaming yields; Las Vegas EBITDAR margins (35%) are the portfolio's best. Luxury customers are the least price-sensitive segment of a cyclical industry — a durable, if not impregnable, advantage.
- **A genuine regulatory moat in the UAE.** Wynn holds the UAE's only commercial gaming license — 15-year exclusive, renewable, for Ras Al Khaimah. MGM has formally applied and analysts expect up to four integrated resorts eventually, but Wynn expects to be 'the only one for quite some time.' A license monopoly in a \$3–5 billion-plus gross-gaming-revenue market is the closest thing to a moat this industry offers.
- **Macau is the moat's weak link.** Six concessionaires compete for the same premium-mass pool; Wynn's roughly 13% gross gaming revenue share is below its 2019 level of 14.6%. Premium positioning wins margin but amplifies VIP volatility — the segment that whipsaws on China macro headlines.
- **Las Vegas: share of a premium niche.** MGM and Caesars dominate the Strip by scale; Wynn wins the ultra-luxury sliver. That works while visitation holds; Strip visitation fell 6% in 2025 before the 2026 recovery.

Adjusted property EBITDAR margin — history vs. base case



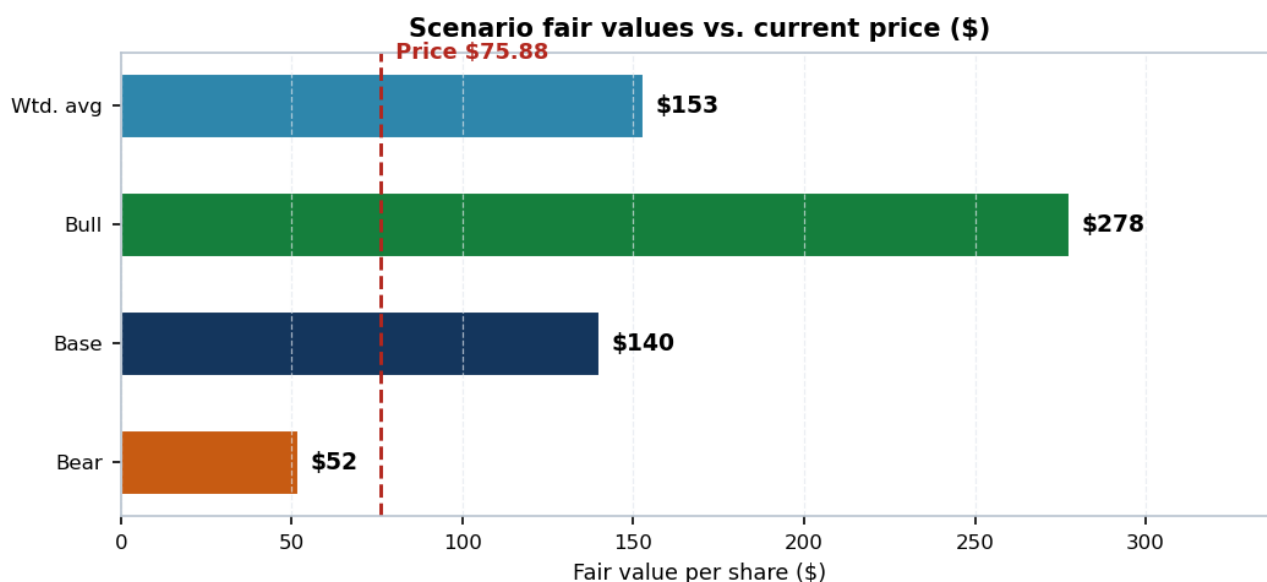
5 Valuation — 10-year scenario FCFE DCF, Fair Value \$153

We value Wynn on a 10-year scenario free-cash-flow-to-equity DCF — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear 14.5% (base + 250bp, distress pricing: derated terminal, refinancing at wider spreads, deferred maintenance), base 12.0% (levered equity with two development projects), bull 10.5% (base – 150bp). Terminal growth is 1.0% / 2.0% / 2.5% on year-10 FCFE computed at normalized mid-cycle EBITDAR margins (28% / 31% / 32%) — never peak margins.

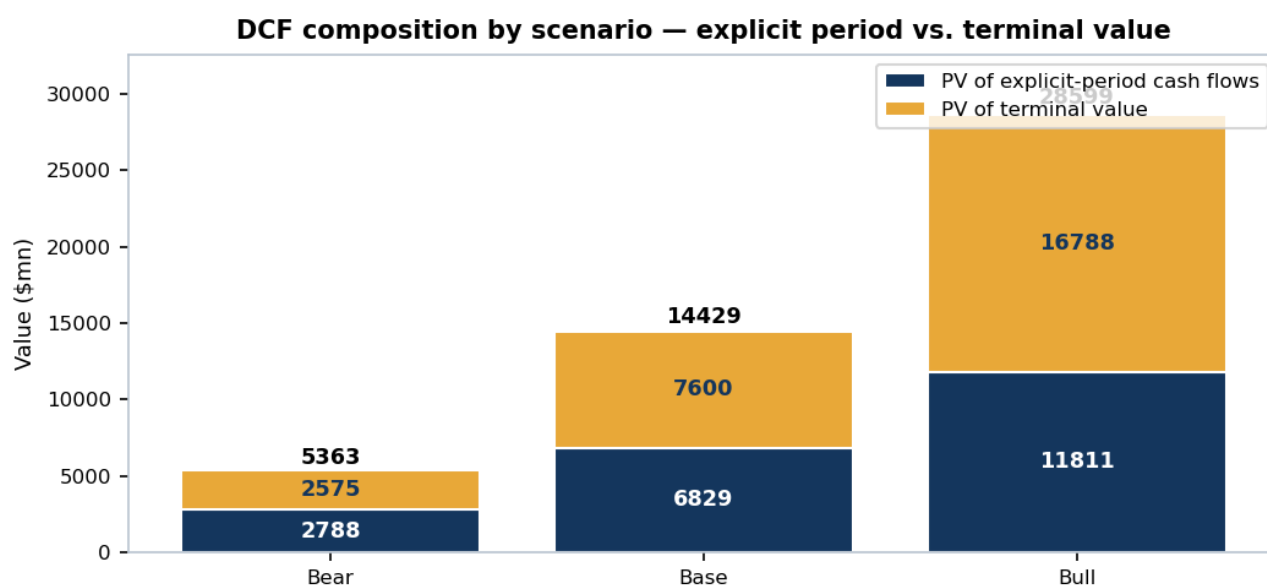
Project economics are haircut, not guided: the UAE at 25% below company guide, the Enclave at 20% below, and Wynn Macau minority leakage of roughly \$110 million per year priced through the whole forecast. Verified diluted share count: 102.97 million.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Macau revenue declines in 2027–28; UAE opens mid-2028 with economics 58% below guide; \$300M equity call on overruns; refinancing at wider spreads	+2.5%	28%	14.5% / 1.0%	48%	\$52.08
Base	Capex wall ends on schedule; UAE opens Sep 2027 at 25% below guide (\$144M/yr Wynn-side EBITDA from 2031); Enclave early 2029 at 20% below guide; Macau stabilizes	+4.6%	31%	12.0% / 2.0%	53%	\$140.13
Bull	UAE ramps to guide; Macau premium-mass share gains continue; Enclave yields above 12% on cost; leverage falls below 3x by 2030 enabling large buybacks	+7.3%	32%	10.5% / 2.5%	59%	\$277.74
Wtd. avg	Probability-weighted (25/50/25) → \$153.00 target					\$153.00

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **UAE execution and timing.** Construction delays or a slow ramp in a first-of-its-kind gaming jurisdiction would defer the cash-flow inflection the whole call rests on; conflict-related logistics costs have already added \$600 million to the budget.
- **Leverage and refinancing.** Roughly \$5.4 billion matures in 2027–28; punitive refinancing terms would divert cash from the inflection to creditors. The bear case prices exactly this.
- **Macau concentration.** Roughly half of revenue and EBITDAR sits in Macau; license conditions, table allocations, and government policy can move earnings faster than any model.
- **US–China tensions.** Geopolitical friction can hit Macau visitation and sentiment independent of Wynn's execution, and it colors how the market prices the equity's China exposure.

What would change our mind

Downgrade to HOLD if Macau gross gaming revenue declines through Q4 2026 (breaking the base case's core-revenue path from the inside), combined with UAE capex rising above \$7.5 billion or the opening pushed past September 2027 — either development outcome invalidates the capex-wall-ending thesis the whole call rests on. Separately, a failed refinancing of the 2027 maturities at anything approaching distress pricing would force a re-underwrite of the entire capital structure. We watch: Macau GGR prints, UAE construction milestones and budget updates, and the pricing on the 2027–28 refinancings.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.